Central Bank
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Transparency Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

November 4, 2025

Present at the meeting: Governor Martin Galstyan, Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan; and Board Members Artak Manukyan, Levon Sahakyan, Narek Ghazaryan, and Armen Ktoyan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia began with the Staff presentation of current and underlying global and domestic economic conditions.[1] The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios summarized in the Taxonomy of Scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to gradually decline to 6.25-6.50% over the next eight decisions.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios primarily relate to risks of higher global neutral rates, uncertainty surrounding regional geopolitical developments, and risks of increasing aggregate demand conditions and various supply-side factors leading to a persistently higher rate of inflation. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include overall concerns about the outlook for the global economy; higher productivity growth and a strong investment environment contributing to greater real exchange rate appreciation and a lower neutral rate; as well as concerns regarding a weak demand environment forming and deepening in the economy due to the gradual decline (adjustment) of real estate prices.

Against the backdrop of the broader set of risks, Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing.

Board members discussed uncertainties around underlying economic conditions and policies in the United States, with implications on Fed policy. Board members all emphasized uncertainty around current economic conditions in the US amid the ongoing government shutdown and absence of key data points. Board members noted that the available information suggested that demand and consumption had rebounded in the third quarter. In this context, Board members also expressed concerns about potential overvaluation in the US stock market; given its role in supporting strong consumption, a sharp correction in asset prices could have downside implications on both current conditions and the medium-term outlook for the US and global economies. Specifically, turning to the US labor market, Narek Ghazaryan emphasized that a further deterioration in labor market conditions could pose risks of a serious slowdown in US consumption and growth, in turn accelerating risks of asset price corrections. At the same time, Armen Nurbekyan emphasized that growing public debt raises serious questions about US long-term interest rates. In this context, all Board members noted that while the Fed cut rates for the second consecutive decision, the scale and timing of further rate cuts remained uncertain.

[1] The staff presentation is published on the CBA website under the title "Monetary Policy Outlook."

Addressing weakening demand conditions in the EU, Russia, and China, all Board members agreed that risks of a worsening global demand outlook remain elevated. Narek Ghazaryan additionally emphasized that real estate market risks and concerns over a persistent deflationary environment continued to impact the Chinese economic outlook, negatively impacting global demand and contributing to deflationary risks in the global economy. At the same time, Armen Ktoyan noted that possible improvements to both US-China and EU-China relations could have the potential to stimulate global supply conditions. Finally, turning to commodity markets, Narek Ghazaryan and Levon Sahakyan noted that while food prices had grown throughout the year, some softening had been observed in September and concerns in this regard had largely softened. Narek Ghazaryan also emphasized that the upside risks are relatively more muted especially when compared to the post-Covid surge in food prices. Additionally, Armen Nurbekyan noted that the outlook for oil prices continues to be dominated by downside risks, including both weakening global demand and increasing supply. On the other hand, Armen Ktoyan emphasized that even as various global commodity prices have moderated, supply issues still persist in Russia, which could pose inflationary risks for Armenia considering the large share of these products that are imported from Russia.

Additionally, Board members emphasized considerable uncertainty regarding the Russian economic outlook and its impact on external demand for Armenian goods and services. Narek Ghazaryan suggested that various signs, including trends in goods exports, remittance flows, and tourism, along with high demand for financial services, could point to strong external demand from Russia, though the outlook nonetheless remained uncertain. Looking ahead, Artak Manukyan and Armen Ktoyan argued that a slowdown of the Russian economy and/or a depreciation of the ruble could negatively impact Armenian goods exports, which could lead to oversupply in the domestic market and deflationary risks. Additionally, Artak Manukyan noted that tightening of migration policy in Russia could further compound these risks.

Discussions then touched upon key sources of uncertainty about underlying domestic economic and aggregate demand conditions. All Board members noted that there appear to be fewer imbalances between aggregate demand and aggregate supply relative to previous years. Pointing to the stable levels of non-traded sticky price inflation, sluggish growth in retail trade, and declining imports of final consumption goods, Hovhannes Khachatryan and Levon Sahakyan argued that there were no signs of excess demand conditions forming in the economy. On the other hand, Narek Ghazaryan and Artak Manukyan suggested that further growth in consumer loans, in tandem with growth in wealth and accumulated savings, could pose risks of excess demand and positive output gap conditions forming. In turn, Martin Galstyan noted that potential for positive developments in regional geopolitical relations, including the unblocking of transport links, could serve as a future source of external demand pressures. Further, all Board members noted that the real estate market has not exhibited signs of a sharp downward correction. During the discussions, Hovhannes Khachatryan and Armen Ktoyan expressed concerns about potential oversupply leading to reductions in both for-sale and rent prices as well as a weakening of the overall demand environment, while Levon Sahakyan emphasized that the gradual nature of price adjustments did not point to excessive imbalances between supply and demand in the real estate market, and risks in these directions have meaningfully weakened. Narek Ghazaryan noted that despite the gradual pace of adjustments, medium- and long-term risks still remain relevant.

Turning to financial conditions, all Board members noted that lending activity for both businesses and households remained high. At the same time, Hovhannes Khachatryan noted that recent increases in liquidity in the financial sector could exert downward pressure on lending and deposit rates across the economy as well as overall financial conditions, leading to an increase in aggregate demand conditions. Board members also offered varying interpretations of the recent downward movements in the yield curve. Levon Sahakyan suggested that these downward movements primarily reflected a downward reappraisal of the country risk premium and the impact of lower interest rates in the United States, which may drive capital inflows and require a lower path for the policy rate. Conversely, Narek Ghazaryan suggested that this could instead reflect the lagged effect of monetary policy transmission. Further, Hovhannes Khachatryan suggested that recent changes to the reserve requirement may have reduced demand for liquidity, which could generate downward pressure on deposit rates across the economy. He further emphasized that this could lead to a loosening of financial conditions across the economy, which in turn could stimulate demand conditions, potentially necessitating a monetary policy response.

Regarding fiscal policy developments, Board members agreed that risks of a higher pace of fiscal expenditures, especially in the final months of the year, could have implications on domestic demand conditions and the overall inflationary environment. In this context, Armen Nurbekyan emphasized that a higher expenditure and debt trajectory could also create upward pressure on the country risk premium. However, Hovhannes Khachatryan emphasized that with the adoption of a fiscal consolidation strategy beginning in 2026, the impacts of fiscal policy on both aggregate demand conditions and the medium-term debt trajectory could be more muted.

Turning to inflation, all Board members noted that sustained supply-side factors, including increased imported food and non-food prices as well as seasonal food, had contributed meaningfully to the recent uptick in inflation. Martin Galstyan, Levon Sahakyan, and Artak Manukyan noted positive signals regarding inflation expectations, which continue to converge around the target. In this context, Levon Sahakyan suggested that supply-driven increases in inflation in Armenia are less concerning from the perspective of monetary policy, especially if inflation expectations are well-anchored. On the other hand, Artak Manukyan and Armen Ktoyan emphasized that several supply-side factors, including logistical challenges for exports to Russia as well as a potential unblocking of regional transport links, could pose deflationary risks. Artak Manukyan also emphasized that the introduction of QR codes for various goods could pose some modest inflationary risks. At the same time, Armen Nurbekyan emphasized that although the nature of the recent inflation spike has been supply driven, developments in inflation must nonetheless continue to be closely monitored.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. On the whole, the Board members were in unison that the main risks that had been discussed in prior rounds—especially dark corner tail risks—had somewhat softened. At the same time, several Board members, including Martin Galstyan, Armen Nurbekyan, Artak Manukyan, and Narek Ghazaryan emphasized the need to manage the losses that could stem from the Case A-type scenarios materializing. In this context, they argued that while the decision to leave the policy rate unchanged remained appropriate amid uncertainty, the policy rate may need to follow a higher path over the medium term relative to market expectations in order to ensure the price stability objective. On the other hand, another group of Board members, including Hovhannes Khachatryan, Levon Sahakyan, and Armen Ktoyan argued that the risks were largely balanced in both directions.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

As a result, the Board of the Central Bank of Armenia voted to leave the policy rate unchanged (see Table 1). The Board will continue to monitor relevant risks and scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 3 percent inflation over the medium-term horizon is met.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
November 4, 2025 Decision

Board Member	Vote
Armen Ktoyan	Keep unchanged
Narek Ghazaryan	Keep unchanged
Levon Sahakyan	Keep unchanged
Artak Manukyan	Keep unchanged
Hovhannes Khachatryan	Keep unchanged
Armen Nurbekyan	Keep unchanged
Martin Galstyan	Keep unchanged

B. Final Vote Submissions

November 4, 2025 Decision

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as a careful assessment of the key sources of risk and uncertainty, I have voted to keep the policy rate unchanged. My decision is motivated by the need to prudently manage the macroeconomic implications that could stem from the Case A-type risks materializing. While the Fed has cut interest rates in its past two decisions, concerns about upward pressure on long-term US interest rates stemming from fiscal policy still persist, with implications on the neutral rate in Armenia. Domestically, growth has increased in recent months and remains concentrated in demand-driven sectors. External demand conditions remain strong, as reflected in sustained demand for Armenian goods and services. At the same time, while I find that the threat posed by the Case B-type risks have largely softened, I nonetheless have continued to monitor these risks. These include concerns about a weakening global growth outlook, as well as the macroeconomic implications of a potential, gradual adjustment in the real estate market, even as the latter continues to show signs of resilience in recent months, with property prices in Yerevan softening at a much more gradual pace. On the whole, I believe that many of the main risks that had been discussed in prior rounds—especially dark corner tail risks—have somewhat softened. My vote reflects an assessment that the Case B-type risks have largely weakened, while the need to manage the Case A-type risks continues to remain relevant. I therefore believe that the current policy stance best manages the risks at hand. In the event that new information or events emerge that require a reassessment of this balance of risks, I reaffirm my commitment to responding in an appropriate and timely manner to ensure that the price stability mandate is met.

Deputy Governor Armen Nurbekyan

Taking into account recent economic and financial developments in Armenia over the past few months, discussions with other members of the Board during the current policy cycle, as well as a thorough analysis of the main sources of risks and uncertainty, I voted in favor of keeping the policy rate unchanged. Significant uncertainty persists in both the external and domestic sectors of the economy. In the United States, uncertainty surrounding economic activity remains elevated, while certain short-term effects of tariffs have begun to manifest in inflation. At the same time, uncertainty regarding the long-term neutral interest rate in the United States persists, reflecting the medium-term outlook for the fiscal deficit and creating upward pressures on the neutral rate. In other major economies, particularly in the European Union and China, risks of slowing economic activity continue to persist. In commodity markets, and especially in the oil market, downside risks to prices dominate, reflecting weaker demand from China and sustained high levels of oil supply. Domestically, inflation remaining above the target level continues to warrant close attention. The acceleration of economic activity has been driven mainly by demand-side factors, with external demand in particular driving this growth. The expansion of demand, along with high growth in lending, increases the likelihood of a positive output gap, which is an issue that must also remain in focus in the context of inflation’s persistence above target. Fiscal policy represents one of the main Case A-type risks, particularly in the short term, due to the potential expansionary impact on demand and the possible increase in the risk premium associated with rising public debt. At the same time, Case B-type factors in the domestic economy mainly stem from a possible weakening of activity in the construction and mortgage markets, which has not materialized as of today. It should be noted that in recent months, activity in both construction and the mortgage market has grown significantly faster than expected. In summary, since the last policy decision, Case A-type risks have persisted in both the global and domestic economies. Taking into account the potential upward adjustment of the output gap and the risk of a higher neutral rate, the decision to keep the policy rate unchanged reflects the material likelihood of Case A-type scenarios, as well as the considerable economic costs that could arise from a policy error should these risks materialize.

Deputy Governor Hovhannes Khachatryan

Considering recent economic and financial developments in Armenia over the past few months, the discussions with other Board members during the policy cycle, as well as thorough analysis of the main sources of risks and uncertainty, I vote in favor of maintaining the policy rate unchanged. The long-run neutral interest rate in the U.S. may settle at higher levels, driven by the federal budget deficit, rising public debt, risks of de-anchored inflation expectations, and the segmentation of global markets. Economic growth, investment, and the overheating in the securities market are largely concentrated among major technology companies, primarily driven by developments related to artificial intelligence projects. In the labor market and other segments of the real economy, a weakening of economic activity is already being observed. In other partner countries, including the EU, China, and Russia, risks of slowing economic activity persist. In the case of Russia, this is accompanied by a high level of inflation. Therefore, the stagflationary risks stemming from the external sector are intensifying. Due to regional political developments, as well as the dynamics of public debt and the budget deficit, Armenia's country risk premium has gradually declined. Economic activity is concentrated in construction, the financial sector, and certain non-inclusive industries. In the domestic economy, B-type factors are primarily associated with a possible weakening in construction and mortgage market activity. Such a slowdown would affect rental prices, housing prices, as well as the dynamics of investment and employment. At the same time, still relatively high lending levels continue to support domestic demand. Moreover, the Central Bank's revision of the reserve requirement ratio for banks exerts downward pressure on bond yields and, going forward, on the interest rates of other instruments as well. Overall, the output gap is closed, although there are both sectors that are rapidly expanding and sectors that are weakening. In summary, I consider A- and B-type risks in both the global and domestic economies to be broadly balanced. Considering the above, leaving the policy rate unchanged best minimizes the losses that could stem from potential policy errors.

Board Member Artak Manukyan

In forming an understanding of recent developments in the economic and financial sectors, I have reviewed various analyses characterizing these trends and have also assessed the main sources of potential risks and uncertainties. Based on this assessment, emphasizing the need to manage the macroeconomic risks arising from A-type risks, I voted in favor of keeping the refinancing rate unchanged. Based on the data analysis, I have concluded that, with the gradual increase in the effectiveness of Western sanctions and the tightening of economic policies, domestic demand in Russia may weaken substantially. On the other hand, as alternative import and export routes gradually expand, Armenia's participation in Russia's external trade flows may also decline, further deepening the decline in income due to weaker external demand. These developments may be further compounded by the implementation of a stricter migration policies by Russia. As expected, the United States proceeded with an interest rate reduction policy, which offers additional support for our monetary policy stance. In the domestic economy, although industry (particularly manufacturing) has not yet fully recovered compared to the previous period, economic growth remains high, mainly driven by the services sector and construction. This is accompanied by an increase in aggregate demand, as reflected in double-digit lending growth. The real estate market is currently undergoing a price correction. The labor market is likewise demonstrating signs of stabilization. Inflation remains somewhat above the target, though developments in food prices in particular have been more moderate than expected. However, the recent legislative changes coming into effect may transmit some mild upward inflationary pressures to the food market. The risks regarding the persistence of the recent improvements in the country risk premium have not yet been fully neutralized. Taking into account the current inflation trends, ongoing economic developments and their macroeconomic outlook, as well as considerations regarding the underlying fundamentals, I assess that, at this stage, it is appropriate to pursue a monetary policy stance that is somewhat tighter than what is currently priced into market expectations. In summary, although the probability of A-type risks materializing remains elevated at this stage, the need to manage their potential impact has led me to vote in favor of keeping the policy rate unchanged. I reaffirm that, in pursuit of the price stability objective, as a member of the Central Bank Board, I will continue to closely monitor economic developments and, if necessary, take appropriate actions to ensure that inflation returns to its medium-term target of 3%.

Board Member Levon Sahakyan

Having carefully assessed recent economic developments, underlying fundamentals, and the main sources of risks and uncertainties during the current policy cycle, as well as taking into account prevailing market expectations, I voted in favor of keeping the policy interest rate unchanged. External inflationary pressures stemming from developments in leading economies and commodity markets are assessed to be mild; however, I believe that uncertainties surrounding the U.S. Federal Reserve's policy rate will persist for some time, despite the fact that it has been lowered in the past two decisions. Domestic economic activity remains resilient, with growth close to its long-term potential and lending volumes continuing to expand. At the same time, although inflation, driven by supply-side factors, remains somewhat above the target level, the stability of non-tradable sticky price inflation indicates that demand conditions are not presently excessive. Taken together, recent developments in the country risk premium and government bond yields create preconditions for market interest rates to settle at a new, lower level. While market participants expect a gradual reduction in the policy rate, prudent management of Case A-type risks remains central to my decision. Among Case B-type risks, I remain attentive to the potential macroeconomic implications that could arise from rapid adjustments in the real-estate and construction sectors; however, recent developments suggest that signals of such risks materializing have moderated. Consequently, Case A and Case B-type risks are broadly balanced and do not necessitate a change in the policy rate. In my assessment, maintaining the rate unchanged is necessary, under the current balance of risks, in achieving the goal of price stability.

Board Member Narek Ghazaryan

Taking into account the discussions held with other members of the Board during the policy decision cycle, the analysis of current economic developments and underlying fundamentals, as well as a comprehensive assessment of key risks and sources of uncertainty, I voted in favor of keeping the policy rate unchanged at 6.75 percent. My decision is grounded in the firm conviction that, over the monetary policy target horizon, the potential inflationary and disinflationary effects associated with the materialization of both Case A and Case B-type of risk scenarios have moderated compared to the previous policy decision cycle and continue to be assessed as broadly contained. Nevertheless, I would like to emphasize that I am particularly concerned about the Case A-type of inflationary scenarios present within the policy target horizon, as I assess both their scope and combined impact on inflation to be stronger than what is currently anticipated by financial market participants. Elaborating further on the Case A-type of risks within the policy target horizon, I would note that a possible tightening of trade policy by the U.S. government, along with potential retaliatory measures from the targeted countries, could generate moderate inflationary pressures in global markets. In addition, under a scenario where the existing sanctions against Russia are maintained or further strengthened, there is a possibility of accelerated capital inflows into Armenia, which could ultimately lead to a faster increase in private spending, thereby creating additional inflationary pressures in the domestic market. Alongside the potential external developments described above, there are also inflationary risks driven purely by domestic economic dynamics. In particular, high economic activity continues to be observed in Armenia, supported by strong confidence among households and businesses, sustained high growth in lending, and expansionary fiscal impulses recorded throughout the year. Under a scenario where these economic stimuli persist or intensify, the inflationary environment in the domestic economy could continue to broaden and accelerate. Moreover, in the context of ongoing positive developments aimed at normalizing relations between Armenia and its neighboring countries, a further acceleration of investment and overall economic activity in Armenia is expected, which could add to inflationary pressures in the medium term. I would also like to draw attention to a number of Case B-type risks present within the policy target horizon. In particular, there is a possibility of a sharp correction in the prices of overvalued assets in the United States, which, combined with a decline in the confidence of economic agents, could lead to a substantial slowdown in economic activity. The relevance of this scenario remains high, given the ongoing deceleration observed in the traditional sectors of the U.S. economy. A potential reduction in U.S. economic activity would likely have an adverse impact on global demand, thereby creating moderate disinflationary risks for the Armenian economy. At the same time, the persistently low-inflation environment in China, coupled with the continuation of policies aimed at expanding China's export markets, could further reinforce disinflationary pressures in a number of economic regions closely linked to Armenia. Among the Case B-type risks stemming from the domestic economy, a notable one is the potential continued decline of the neutral interest rate in the domestic financial market. This would reflect a further possible reduction in Armenia's sovereign risk premium, as well as the persistent trend of real effective exchange rate appreciation, driven by sustained growth in exports and capital inflows into the country. The scenario of a rapid correction in the real estate market, following a period of activity exceeding its long-term norm, also remains within the range of consideration. Should this scenario materialize, it could lead to a significant slowdown in aggregate domestic demand, thereby generating disinflationary pressures. Nevertheless, it should be noted that the continued strong growth of domestic economic activity has substantially reduced the risk of a sharp decline in real estate prices and market activity, compared to previous monetary policy decision cycles. Balancing Case A and Case B-type risks described above, I am convinced that it is appropriate to keep the refinancing rate unchanged at the current level of 6.75 percent, with the objective of maintaining inflation close to the Central Bank's target level over the medium term. I reaffirm my strong commitment to the objective of price stability and express my readiness to take appropriate policy actions in response to any new information that may pose a risk to achieving the 3 percent inflation target and sustaining price stability over the policy target horizon.

Board Member Armen Ktoyan

Two main groups of factors motivated my decision to leave the policy rate unchanged. Within the external factors, there remains a high degree of uncertainty surrounding international trade policies and geopolitical developments. In particular, in the United

States, both the gradual impact of significant tariff increases and the continuation of expansionary fiscal policy have created tangible risks of further inflationary pressures. Although inflationary pressures in global commodity markets have recently somewhat weakened, in certain food markets, due to supply-side factors (notably, the limited agricultural production capacity in Russia), inflationary risks could still emerge. I consider the current acceleration of economic activity in Armenia to have a broadly neutral impact on inflation. At the same time, it is important to ensure prudent management of risks arising from the potential materialization of some Case B-type scenarios. Specifically, risks stem from a slowdown in construction activity and weaker demand in the real estate market. In addition, a possible decline in tourist inflows and reduced demand for Armenian goods amid slower real income growth and potential ruble depreciation in Russia, could justify a lower interest rate path relative to market expectations. As a result, balancing the risks stemming from Case A and Case B-type scenarios, I voted in favor of keeping the policy rate unchanged.

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